Through buying of financial instruments, the money supply is increased. The banks will have more money with them. The public who sold will deposit the money with the banks. So the resource of banks increases which in turn helps to increase their lending capacity. When there is more money supply, the interest will come down. Therefore, more people will borrow from banks. The reverse is the case when the Central bank sells financial instruments.

CC.1.A. 3. Variable Reserve Ratio

In these methods, the reserves that scheduled banks have to maintain are varied to control the credit creation. There are two types of reserves.

CC.1.A.3. i. Cash Reserve Ratio (CRR)

Scheduled banks are required to keep certain percentage of their Net Time and Demand Deposits with RBI under RBI Act 1934. It can be shown in a formula.

Cash Reserve Ratio =Cash reserve/Net time and demand deposits × 100

This is aimed to have control over banks credit. The ratio was 3 – 15 per cent. Within this range, the RBI fixed the CRR. If this ratio is increased, the banks have to deposit more money with the RBI. So, the resource available to banks for lending will come down. The money supply will come down. The reverse is the case when the ratio is decreased. As per RBI (Amendment) Bill 2006 enacted in June 2006, the Floor and Ceiling condition of 3-15 per cnet was removed.

CC.1.A. 3.ii. Statutory Liquidity Ratio (SLR)

Scheduled banks are required to keep certain percentage of their net time and demand deposits in their vault itself. It need not be